14. INCOME TAXES

The components of earnings from continuing operations before income taxes and the provision for income taxes from continuing operations were as follows:

| | Years ended December 31, | | |
|---|---|---|---|
| | **2015** | 2014 | 2013 |
| | | (In thousands) | |
| Earnings from continuing operations before income taxes: | | | |
| United States | **$ 408,757** | 275,630 | 302,809 |
| Foreign | **60,458** | 62,637 | 66,206 |
| Total | **$ 469,215** | 338,267 | 369,015 |
| Current tax expense (benefit) from continuing operations: | | | |
| Federal [(1)] | **$ (1,836)** | (230) | 234 |
| State [(1)] | **5,748** | 6,396 | 4,194 |
| Foreign | **5,272** | 7,163 | 7,691 |
| | **9,184** | 13,329 | 12,119 |
| Deferred tax expense from continuing operations: | | | |
| Federal | **135,585** | 90,056 | 98,076 |
| State | **20,111** | 12,429 | 15,399 |
| Foreign | **(1,654)** | 2,228 | 146 |
| | **154,042** | 104,713 | 113,621 |
| Provision for income taxes from continuing operations | **$ 163,226** | 118,042 | 125,740 |

*(1) Excludes federal and state tax benefits resulting from the exercise of stock options and vesting of restricted stock awards, which were credited directly to "Additional paid-in capital."*

A reconciliation of the federal statutory tax rate with the effective tax rate from continuing operations follows:

| | Years ended December 31, | | |
|---|---|---|---|
| | **2015** | 2014 | 2013 |
| | (Percentage of pre-tax earnings) | | |
| Federal statutory tax rate | **35.0** | 35.0 | 35.0 |
| Impact on deferred taxes for changes in tax rates | **(0.9)** | (0.9) | 0.1 |
| State income taxes, net of federal income tax benefit | **5.0** | 5.2 | 4.0 |
| Foreign rates varying from federal statutory tax rate | **(3.3)** | (3.7) | (4.1) |
| Tax reviews and audits | **(1.3)** | (1.1) | (0.8) |
| Other, net | **0.3** | 0.4 | (0.1) |
| Effective tax rate | **34.8** | 34.9 | 34.1 |





**Tax Law Changes**

The effects of changes in tax laws on deferred tax balances are recognized in the period the new legislation is enacted. The following provides a summary of the increases (decreases) to net earnings from continuing operations from changes in tax laws by tax jurisdiction:

| Tax Jurisdiction | Enactment Date | Net Earnings |
|---|---|---|
| | | (in thousands) |
| **2015** | | |
| **Connecticut** | **June 30, 2015** | **$1,616** |
| **Other Jurisdictions** | **April 13, 2015 - November 18, 2015** | **$497** |
| 2014 | | |
| New York | March 31, 2014 | $1,776 |
| Rhode Island | June 19, 2014 | $626 |
| 2013 | | |
| Puerto Rico | June 30, 2013 | $(503) |
| United Kingdom | July 17, 2013 | $485 |

**Deferred Income Taxes**

The components of the net deferred income tax liability were as follows:

| | December 31, | |
|---|---|---|
| | **2015** | 2014 |
| | (In thousands) | |
| Deferred income tax assets: | | |
| Self-insurance accruals | **$ 93,352** | 81,908 |
| Net operating loss carryforwards | **429,458** | 377,740 |
| Alternative minimum taxes | **10,727** | 10,727 |
| Accrued compensation and benefits | **76,363** | 68,626 |
| Federal benefit on state tax positions | **18,912** | 18,847 |
| Pension benefits | **148,671** | 157,082 |
| Miscellaneous other accruals | **32,763** | 33,090 |
| | **810,246** | 748,020 |
| Valuation allowance | **(14,991)** | (24,742) |
| | **795,255** | 723,278 |
| Deferred income tax liabilities: | | |
| Property and equipment bases difference | **(2,362,194)** | (2,149,574) |
| Other | **(20,583)** | (16,996) |
| | **(2,382,777)** | (2,166,570) |
| Net deferred income tax liability | **$ (1,587,522)** | (1,443,292) |

U.S. deferred income taxes have not been provided on certain undistributed earnings of foreign subsidiaries, which were $712 million at December 31, 2015. The determination of the amount of the related unrecognized deferred tax liability is not practicable because of the complexities associated with the hypothetical calculations. We have historically reinvested such earnings overseas in foreign operations indefinitely and expect future earnings will also be reinvested overseas indefinitely.

At December 31, 2015, we had U.S. federal tax effected net operating loss carryforwards of $386 million and various U.S. subsidiaries had state tax effected net operating loss carryforwards of $29 million both expiring through tax year 2034. We also had foreign tax effected net operating losses of $14 million that are available to reduce future income tax payments in several countries, subject to varying expiration rules. A valuation allowance has been established to reduce deferred income tax assets, principally foreign tax loss carryforwards, to amounts more likely than not to be realized. We had unused alternative minimum tax credits of $11 million at December 31, 2015, which are available to reduce future income tax liabilities. The alternative minimum tax credits may be carried forward indefinitely.

**Uncertain Tax Positions**

The following is a summary of tax years that are no longer subject to examination:

*Federal* — audits of our U.S. federal income tax returns are closed through fiscal year 2008.

*State* — for the majority of states, tax returns are closed through fiscal year 2008.

*Foreign* — we are no longer subject to foreign tax examinations by tax authorities for tax years before 2008 in Canada, 2010 in Brazil, 2010 in Mexico and 2013 in the U.K., which are our major foreign tax jurisdictions.

The following table summarizes the activity related to unrecognized tax benefits (excluding the federal benefit received from state positions):

| | December 31, | | |
|---|---|---|---|
| | **2015** | 2014 | 2013 |
| | | (In thousands) | |
| Balance at January 1 | **$ 60,482** | 56,813 | 52,271 |
| Additions based on tax positions related to the current year | **4,220** | 6,896 | 7,606 |
| Reductions due to lapse of applicable statutes of limitation | **(3,962)** | (3,227) | (3,064) |
| Gross balance at December 31 | **60,740** | 60,482 | 56,813 |
| Interest and penalties | **4,912** | 5,125 | 5,756 |
| Balance at December 31 | **$ 65,652** | 65,607 | 62,569 |

Of the total unrecognized tax benefits, $47 million (net of the federal benefit on state issues) represents the amount of unrecognized tax benefits that, if recognized, would favorably affect the effective tax rate in future periods. The total includes $4 million of interest and penalties, at each December 31, 2015 and 2014, respectively, net of the federal benefit on state issues. For 2015, 2014 and 2013, we recognized an income tax benefit related to interest and penalties of $1 million in each period, within "Provision for income taxes" in our Consolidated Statements of Earnings. Unrecognized tax benefits related to federal, state and foreign tax positions may decrease by $3 million by December 31, 2016, if audits are completed or tax years close during 2016.





**Like-Kind Exchange Program**

We have a like-kind exchange program for certain of our U.S.-based revenue earning equipment. Pursuant to the program, we dispose of vehicles and acquire replacement vehicles in a form whereby tax gains on disposal of eligible vehicles are deferred. To qualify for like-kind exchange treatment, we exchange through a qualified intermediary eligible vehicles being disposed of with vehicles being acquired, allowing us to generally carryover the tax basis of the vehicles sold ("like-kind exchanges"). The program results in a material deferral of federal and state income taxes, and a decrease in cash taxes in periods when we are not in a net operating loss (NOL) position. As part of the program, the proceeds from the sale of eligible vehicles are restricted for the acquisition of replacement vehicles and other specified applications. Due to the structure utilized to facilitate the like-kind exchanges, the qualified intermediary that holds the proceeds from the sales of eligible vehicles and the entity that holds the vehicles to be acquired under the program are required to be consolidated in the accompanying Consolidated Financial Statements in accordance with U.S. GAAP. The total assets, primarily revenue earning equipment, and the total liabilities, primarily vehicle accounts payable, held by these consolidated entities are equal in value as these entities are solely structured to facilitate the like-

kind exchanges. At December 31, 2015 and 2014, these consolidated entities had total assets, primarily revenue earning equipment, and total liabilities, primarily accounts payable, of $237 million and $205 million, respectively.